

How Vietnam's exporters are adapting to new US tariffs

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Vietnamese exporters are bracing¹ for new U.S. tariffs, but many had already prepared strategies to cope before the measures took effect.

¹ (v) to support an object in order to stop it from falling down

Since August 7 tariffs² of 10 – 41% are in place on the majority of the US's trade partners. Vietnam faces a 20% rate, lower than President Donald Trump's initial proposal of 46%.

² (n) a tax on goods entering a country:

Pham Van Viet, chairman of clothing company Viet Thang Jean, says rising input costs and shrinking profit margins are putting pressure on the textile and garment industry.

"This is a seasonal business with short order cycles. Tariff changes make it hard to renegotiate prices, especially for finalized contracts."

Nevertheless, most exporters were not caught off guard since they began preparing response plans as early as in April, when the US first announced the tariffs.

"We were ready for a 30 – 46% rate, and so 20% is actually good news," Nguyen Dinh Tung, CEO of Vina T & T Group, an agricultural products exporter, says.